Chiang Kai-shek sought refuge after his inevitable defeat. His government continued to represent China in the UN, including its Security Council, and remained a close American ally, now against the Chinese communists. And the KMT government in Taiwan, like the People's Republic, considered Tibet an inalienable part of China.

The intrigues that followed the Chinese invasion of Tibet, and the characters who were involved, put even the old Great Game to shame. As the Chinese were moving into Kham in the east and beginning to consolidate their grip on Tibet, the Americans began to take more interest in the Tibetan issue. In the spring of 1951, Larry Dalley, a young CIA officer at the US consulate general in Kolkata seeking information about China's designs for Tibet, contacted two young ladies in the city's diplomatic circuit. One of them was Pema Tseudeun, the older sister of the crown prince of Sikkim, Palden Thondup. She was a stunningly beautiful Himalayan lady who was married to a Tibetan nobleman and was more commonly known in her social circles as Coocoola. During World War II, while still a teenager, she had befriended Tolstoy and Dolan, the two OSS reconnaissance specialist officers then stationed in Lhasa. She and her husband owned considerable property in Lhasa, but the Chinese incursions had forced them to return to Sikkim, from where they then moved to Kolkata.[99]

Dalley's other contact was Coocoola's younger sister, the equally attractive Pema Choki, 'Kula' to her friends. She was also married to a Tibetan and her father-in law had been a high-ranking official at the Tibetan trade office in Kalimpong. Dalley asked the sisters if they thought the Tibetans would need any assistance from the United States, and a channel to the resistance on the other side of the Himalayas was opened.

According to American researchers Kenneth Conboy and James Morrison,

> In June 1952, Kukula [Coocoola] approached the consulate with an oral message from the Dalai Lama. She had just returned from a visit to her in-laws in Lhasa, and although she had not personally met the Dalai Lama, she had been given information from Kula's father-in-law, Yurok Dazza, who had been in Lhasa at the same time, circulating among senior government circles. Kukula quoted the Dalai Lama as saying that when the time was propitious for liberation, he hoped the United States would give material aid and support.[100]

Discontent with the Chinese occupation was brewing throughout Tibet, and the young Dalai Lama was invited to Beijing in September 1954,